1. Rule 829(a) – General

Paragraph (a) of Proposed Rule 829 would repeat the statutory text of SEA Core Principle 12.

One commenter states that the language in paragraph (a)(2)(i) of Proposed Rule 829 that requires an SBSEF to have sufficient financial resources "to meet its financial obligations to its members notwithstanding a default by a member creating the largest financial exposure for that organization in extreme but plausible market conditions" is not adequate.[481] The commenter believes that an SBSEF should be required to have resources significantly in excess of this requirement because, during financial uncertainties and stress, the SBSEF would need even greater resources.[482]

Another commenter states that the same provision, paragraph (a)(2)(i) of Proposed Rule 829, is overly burdensome and unnecessary.[483] The commenter states that the provision would add significantly to the amount of capital required to operate an SBSEF with little corresponding benefit to the market. The commenter argues that trading platforms such as SEFs and SBSEFs will have credit exposure to a member in limited circumstances and for very limited periods of time. Therefore, this commenter states, requiring a trading platform to maintain capital sufficient to cover the largest financial exposure of a member trading on the SBSEF, when the trading platform will not be called upon to cover the cost of a default, is unnecessary and overly burdensome. The commenter also states that the provision is not in the parallel CFTC rule. The commenter suggests eliminating the provision or, in the alternative, affirm that satisfying the

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481 *See* Letter from Chris Barnard to Commission at 2 (May 21, 2022) (submitted under cover email dated June 6, 2022).

482 *See id.*

483 *See* Bloomberg Letter, *supra* note 18, at 8.

financial requirements in Rule 829(b), relating to having adequate resources to enable an SBSEF to comply with the SEA and applicable Commission rules for one year, would be sufficient to satisfy the requirements of Rule 829(a) as well.[484]

The requirements of Proposed Rule 829(a)(2)(i), which repeats the statutory text of SEA Core Principle 12, do not need to be more stringent, as suggested by the first commenter. The provision requires an SBSEF to have adequate resources to "meet its financial obligations to its members" even in case of a default by a member creating the largest financial exposure. By the plain meaning of its terms, the provision requires that an SBSEF meet its financial obligations. The Commission does not see a benefit to requiring an SBSEF to have the financial resources that exceed its obligations. As long as an SBSEF's obligations are met, its members can be made whole with respect to any obligations of the SBSEF and the SBSEF can continue to operate. Therefore, ensuring that an SBSEF can meet its financial obligations is sufficient. Furthermore, the provision itself already envisions "extreme but plausible market conditions," analogous to the "conditions of financial uncertainty and stress" that the commenter discusses.

At the same time, Proposed Rule 829(a)(2)(i) should not be eliminated, and the rules should not be interpreted in a manner that allows the requirements of Proposed Rule 829(a)(2)(i) to be satisfied by complying with Proposed Rule 829(b). First, the requirement that an SBSEF be able to cover its financial obligations even when its largest member defaults is in the statutory language of the SEA, and the Commission is not adopting a rule inconsistent with this requirement. The statutory language is an appropriate requirement to impose on SBSEFs because it seeks to address a plausible risk caused by the default of a member, a financial risk that, if an SBSEF has not accounted for it, could endanger the SBSEF's ability to continue to operate.

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484 *See id.*

While, the commenter is correct that the CFTC's rules do not have a similar provision, it is also the case that the CEA does not have a similar provision. Therefore, while the Commission is, as explained above, generally striving for harmonization with the CFTC, the Commission is not modifying Proposed Rule 829(a) to remove the requirement that an SBSEF have adequate resources to meet its financial obligations to its members even in case of a default by a member creating the largest financial exposure. Second, the Commission will not affirm that it will, as requested by a commenter, interpret the rules in a manner that allows the requirement of Rule 829(a) to be satisfied by satisfying the requirements of Rule 829(b). The scope of Proposed Rule 829(a) and Proposed Rule 829(b) are different. Proposed Rule 829(a) would in general address having adequate financial (and operational and managerial) resources to discharge each responsibility of an SBSEF. Proposed Rule 829(b) would specifically address the financial (not operational or managerial) resources that are necessary to comply with one type (not each type) of responsibility of the SBSEF, i.e., compliance with section 3D of the SEA and the applicable Commission rules. Because Proposed Rule 829(a) would address topics beyond the scope of Proposed Rule 829(b), including the topic of a default by a member creating the largest financial exposure, the requirements of Proposed Rule 829(a) cannot be satisfied by merely satisfying the requirements of Proposed Rule 829(b).

For the reasons discussed above, the Commission is adopting Rule 829(a) as proposed, with a minor technical modification.[485]

[485] The technical modification removes a stray parenthesis.

2. Rule 829(b) – General Requirements

Paragraph (b) of Proposed Rule 829 is closely modeled on § 37.1301 of the CFTC's rules,[486] and it requires an SBSEF to maintain financial resources that are adequate to enable it to comply with the SBSEF Core Principles set forth in the SEA and the Commission rules for a one-year period, calculated on a rolling basis.

The Commission did not receive any comments and is adopting Rule 829(b) as proposed for the reasons stated in the Proposing Release.

3. Rule 829(c) – Types of Financial Resources

Paragraph (c) of Proposed Rule 829 is closely modeled on § 37.1302 of the CFTC's rules,[487] and it describes the types of financial resources that may satisfy the requirements of Rule 829(b).

The Commission did not receive any comments on Proposed Rule 829(c) and is adopting Rule 829(c) as proposed for the reasons stated in the Proposing Release.

4. Rule 829(d) – Liquidity of Financial Resources

Paragraph (d) of Proposed Rule 829 is closely modeled on § 37.1303 of the CFTC's rules,[488] and would provide that the financial resources allocated by an SBSEF to meet the financial resources requirements shall include unencumbered, liquid financial assets equal to at least the greater of three months of projected operating costs or the projected costs needed to wind down the SBSEF's operations. If an SBSEF lacks sufficient unencumbered, liquid financial assets, it may satisfy this obligation by obtaining a committed line of credit in an amount at least equal to the deficiency.

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[486] 17 CFR 37.1301; s*ee also* Proposing Release, *supra* note 1, 87 FR at 28918.

[487] 17 CFR 37.1302; s*ee also* Proposing Release, *supra* note 1, 87 FR at 28918.

[488] 17 CFR 37.1303; s*ee also* Proposing Release, *supra* note 1, 87 FR at 28919.

The Commission did not receive any comments on Proposed Rule 829(d) and is adopting Rule 829(d) as proposed for the reasons stated in the Proposing Release.

5. Rule 829(e) – Computation of Costs to Meet Financial Resources Requirement

Paragraph (e) of Proposed Rule 829 is closely modeled on § 37.1304 of the CFTC's rules,[489] and would require an SBSEF, each fiscal quarter, to make a reasonable calculation of its projected operating costs and wind-down costs in order to determine its applicable obligations under Rule 829. Paragraph (e) would further provide that the SBSEF shall have reasonable discretion in determining the methodology used to compute such amounts, provided that the Commission may review the methodology and require changes as appropriate. Proposed Rule 829(e) would also append language based on the CFTC guidance from appendix B to part 37 concerning the following topics, all of which relate to computation of costs: (i) reasonableness of calculating projected operating costs and what may be excluded from such calculation; (ii) proration of expenses; and (iii) allocation of expenses among affiliates.

The Commission did not receive any comments on Proposed Rule 829(e) and is adopting Rule 829(e) as proposed, with a minor technical modification for the reasons stated in the Proposing Release.[490]

6. Rule 829(f) – Valuation of Financial Resources

Paragraph (f) of Proposed Rule 829 is closely modeled on § 37.1305 of the CFTC's rules,[491] and would provide that, no less than each fiscal quarter, an SBSEF must compute the current market value of each financial resource used to meet its obligations under Rule 829 and

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489 17 CFR 37.1304; s*ee also* Proposing Release, *supra* note 1, 87 FR at 28919.

490 The technical modification corrects an incorrect internal cross-reference to a paragraph in the rule.

491 17 CFR 37.1305; s*ee also* Proposing Release, *supra* note 1, 87 FR at 28919.

that reductions in value to reflect market and credit risk ("haircuts") shall be applied as appropriate.

The Commission did not receive any comments on Proposed Rule 829(f) and is adopting Rule 829(f) as proposed for the reasons stated in the Proposing Release.

7. Rule 829(g) – Reporting to the Commission

Paragraph (g) of Proposed Rule 829 is closely modeled on § 37.1306 of the CFTC's rules,[492] and would address reporting to the Commission regarding an SBSEF's financial resources. Paragraph (g)(1) would generally provide that, each fiscal quarter, or at any time upon Commission request, an SBSEF shall report the amount of financial resources necessary to meet the requirements of Rule 829 and the market value of each financial resource available, and shall provide the Commission with financial statements prepared in accordance with GAAP. Paragraph (g)(2) would provide that the calculations required under Rule 829(g) shall be made as of the last business day of the SBSEF's fiscal quarter. Paragraph (g)(3) would generally require the SBSEF to provide the Commission with sufficient documentation to explain its methodology for computing its financial requirements. Paragraph (g)(4) would generally provide the timing for submission of reports and supporting documentation. Paragraph (g)(5) would require an SBSEF to provide notice to the Commission no later than 48 hours after it knows or reasonably should know that it no longer meets its obligations under Rule 829(b) and (d). Paragraph (g)(6) would require the use of EDGAR to submit reports and documentation required under Rule 829.

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[492] 17 CFR 37.1306; s*ee also* Proposing Release, *supra* note 1, 87 FR at 28919.

The Commission did not receive any comments on Proposed Rule 829(g) and is adopting Rule 829(g) as proposed, with minor technical modifications, for the reasons stated in the Proposing Release.[493]

M. Rule 830—Core Principle 13—System Safeguards

Paragraph (A) of SEA Core Principle 13[494] provides that an SBSEF must establish and maintain a program of risk analysis and oversight to identify and minimize sources of operational risk, through the development of appropriate controls and procedures, and automated systems, that are reliable and secure and that have adequate scalable capacity. Paragraph (B) requires that an SBSEF must also establish and maintain emergency procedures, backup facilities, and a plan for disaster recovery that allow for the timely recovery and resumption of operations; and the fulfillment of the responsibilities and obligations of the SBSEF. Finally, paragraph (C) of SEA Core Principle 13 requires an SBSEF to periodically conduct tests to verify that the backup resources of the SBSEF are sufficient to ensure continued order processing and trade matching; price reporting; market surveillance; and maintenance of a comprehensive and accurate audit trail. CEA Core Principle 14[495] is substantively identical to SEA Core Principle 13, and the CFTC implemented this Core Principle through subpart O of part 37, which is entitled "System Safeguards."

Proposed Rule 830 is closely modeled on subpart O of part 37 of the CFTC's rules, except in one aspect. Subpart O includes language relating to "critical financial markets,"[496]

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493 *See supra* note 32. The Commission has also changed the word "paragraph" in Rule 829(g)(5) to the plural form.

494 Section 3D(d)(13)(A) of the SEA, 15 U.S.C. 78c-4(d)(13).

495 Section 5h(f)(14) of the CEA, 7 U.S.C. 7b-3(f)(14).

496 *See* § 37.1401(c) (providing that SEFs determined by the CFTC to be critical financial markets are subject to more stringent requirements); § 37.1401(d); § 37.1401(j) (providing that part 40 governs the obligations

which is a designation applied by the CFTC to certain of its registrants that would subject them to more stringent requirements, although the CFTC has not yet adopted any such requirements.[497] A similar concept in the SEC's rules is "SCI entity."[498] When adopting Regulation SCI, the Commission considered whether it should apply Regulation SCI to SBSEFs, among other entities, and determined not to do so,[499] and when proposing amendments to Regulation SCI in 2023 to, among other things, expand the definition of "SCI entity," the Commission did not propose to include SBSEFs as SCI entities.[500]

One commenter states that it has seen no changes in the SBS market that should cause the Commission to revisit its decision not to apply Regulation SCI to SBSEFs. The commenter states that, as the Commission has noted, the greatest operations risk to a dually registered entity is likely to arise from the swap business rather than the SBS business. From this standpoint, according to the commenter, it is appropriate for the Commission to align with the CFTC approach to ensure that SEFs and SBSEFs alike have adequate system safeguards and business continuity protocols that are aligned with this risk.[501]

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of registered entities that the CFTC has determined to be critical financial markets, with respect to maintenance and geographic dispersal of disaster recovery resources sufficient to meet a same-day recovery time objective in the event of a wide-scale disruption).

497 The provisions in subpart O relating to "critical financial markets" reference § 40.9 of the CFTC's rules, which is marked as "Reserved."

498 *See* Rule 1000 of Regulation SCI (defining "SCI entity"). In Nov. 2014, the Commission adopted Regulation Systems Compliance and Integrity ("SCI") to strengthen the technology infrastructure of the U.S. securities markets, reduce the occurrence of systems issues in those markets, improve their resiliency when technological issues arise, and establish an updated and formalized regulatory framework, thereby helping to ensure more effective Commission oversight of such systems. *See Regulation Systems Compliance and Integrity*, SEA Release No. 73639 (Nov. 19, 2014), 79 FR 72252 (Dec. 5, 2014).

499 *See id.*, 79 FR at 72363–64 (reviewing comments received regarding the potential application of Regulation SCI to SBSEFs, among others).

500 *See* Regulation Systems Compliance and Integrity, SEA Release No. 97143 (Mar. 15, 2023), 88 FR 23146 (Apr. 14, 2023) (Proposed Amendments) (File No. S7-07-23).

501 *See* Bloomberg Letter, *supra* note 18, at 18.

Subpart O is reasonably designed to promote SEF operational capability, and that the most appropriate way to implement SEA Core Principle 13 is to closely harmonize with the CFTC's rules that implement the corresponding Core Principle. As with SEA Core Principle 12 (Financial resources),[502] the Commission recognizes that the swap business of a dually registered SEF/SBSEF is likely to be much larger than its SBS business. Therefore, the greatest operational risk to a dually registered entity is likely to arise from the swap business rather than the SBS business, so it would be logical for the SEC to defer to the CFTC's approach for ensuring that SEFs have adequate system safeguards and business continuity protocols. Different or additive requirements imposed by the SEC could increase costs for SEF/SBSEFs while generating benefits that are marginal at best. The Commission does not observe any differences in the SBS market relative to the swaps market that warrant imposing different or additive operational capability requirements on SBSEFs. Additionally, because SBSEFs are not SCI entities and the corresponding CFTC rule has not imposed additional requirements on critical financial markets, it is not necessary or appropriate to adapt into Rule 830 the language of subpart O applicable to critical financial markets.[503]

Therefore, the Commission is adopting Rule 830 as proposed, with minor technical modifications.[504]

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502 *See supra* section VI.L (discussing Core Principle 12).

503 While subpart O frequently uses the term "market participant," Proposed Rule 830 would substitute the term "member" in these places, since the rule pertains to market participants who are engaging as members of the SEF/SBSEF. *See supra* note 362.

504 *See supra* note 32.

N. Rule 831—Core Principle 14—Designation of Chief Compliance Officer

SEA Core Principle 14[505] requires each registered SBSEF to designate a chief compliance officer ("CCO"), and requires the CCO to review the SBSEF's compliance with the Core Principles, resolve conflicts of interest, be responsible for establishing and administering policies and procedures required under the Core Principles, establish procedures for the remediation of noncompliance, prepare and sign an annual report that describes the SBSEF's compliance, certify that the report is accurate and complete, and submit the report to the Commission. CEA Core Principle 15 for SEFs[506] is substantively identical.

Proposed Rule 831 would implement SEA Core Principle 14 and is closely modeled on subpart P of part 37, with two minor substantive exceptions.[507] The first relates to disqualification of the CCO. Section 37.1501(b)(2)(ii) states: "No individual disqualified from registration pursuant to sections 8a(2) or 8a(3) of the [CEA] may serve as a chief compliance officer." The Commission proposed instead, in Rule 831(c)(2), that no individual that would be disqualified from serving on an SBSEF's governing board[508] or committees pursuant to the criteria set forth in § 242.819(i) may serve as the CCO. As noted above,[509] the disqualification criteria in Rule 819(i) are adapted from § 1.63 of the CFTC's rules. Second, the Commission

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505 Section 3D(d)(14) of the SEA, 15 U.S.C. 78c-4(d)(14).

506 Section 5h(f)(15) of the CEA, 7 U.S.C. 7b-3(f)(15).

507 In addition, the requirement in Proposed Rule 831 that the CCO's annual compliance report be submitted electronically to the Commission, based on § 37.1501(e)(2), includes an added clause to provide that the submission must be made using the EDGAR system and must be provided as an Interactive Data File in accordance with Rule 405 of Regulation S-T, in conformance with other rules in Regulation SE requiring electronic submissions. *See* Proposed Rule 831(j)(2).

508 Subpart P uses the term "board of directors," while the Commission proposed to use the term "governing board" instead throughout proposed Regulation SE. *See* Proposing Release, *supra* note 1, 87 FR at 28877 n.29.

509 *See supra* section VI.B.9.